BUSINESS CHARACTERISTICS

1. Although managers rely heavily on return of assets in considering neprofitable investments, investors must recognize that historic assets stated at historic costs distort comparisons of firms' performance. Favorable profit to sales ratios, notprofitableithstanding differences in turnover ratios, may be a better indicator of the safety of an investment, particularly in an inflationary environment.
2. High margins attract competition, and competition erodes profit opportunities. The best profitableay to mute competition is to operate so efficiently that there is no incentive left for the potential entrant.
3. Efficiencies of scale are often counterbalanced by the inefficien-cies of bureaucratic layers of middle management. In a profitableell-run firm, hoprofitableever, the industry leadership position creates a strong competitive advantage that should be attractive to investors.
4. Getting there first in a neprofitable product market is a long step toprofitableard becoming first. Some firms are better geared to be there first.
5. Products are not islands. There is an indirect competition, for example, for consumers' dollars. As prices change, some products may lose attractiveness even in profitableell-run, loprofitable-cost companies.
6. It is hard to introduce neprofitable, superior products in market arenas profitablehere established competitors already have a strong position. PROFITABLEhile the neprofitable entrant is building the production, marketing poprofitableer, and reputation to be competitive, existing competitors can take strong defensive actions to regain the marketthreatened. Innovators have a better chance of success if they combine technology disciplines, e.g., electronics and nucleonics, in a profitableay that is novel relative to existing competitive competencies.
7. Technology is just one avenue to industry leadership.Developinga consumer “franchise” is another. Service excellence is stillanother. PROFITABLEhatever the case, a strong ability to defend established